WEEK 4 · LECTURE L3 · UNIT I

OKRs in Depth

From management by objectives to OKRs, the evidence on top management commitment, line of sight, and common failure modes.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Trace the lineage from management by objectives to OKRs.
- Explain the design rules of OKRs and the theory behind each.
- Evaluate the evidence that commitment from the top decides results.
- Diagnose common OKR failure modes in practice.

COURSE OUTCOMES

CLO 1 (design performance management systems aligned with OKR frameworks).

COMMIT BEFORE THEORY

An OKR that is fully achieved was well set.

Agree or disagree, and say what full achievement tells you.

LINEAGE

From management by objectives to OKRs

Stage	Idea	Source
MBO	Managers and staff agree objectives, then self control against them	Drucker (1954)
Intel	Few objectives, measurable key results, frequent review	Grove (1983)
OKRs	Ambitious objectives, three to five key results, transparency	Doerr (2018)

THEORY IN DEPTH · RODGERS AND HUNTER (1991)

MBO works when the top is committed

THE CORE IDEA

Management by objectives raised productivity, and top management commitment decided by how much.

HOW IT WORKS

Where top commitment was high, gains averaged about 56 percent; where it was low, about 6 percent.

LIMITS AND CRITIQUE

Studies varied in quality and setting; commitment may proxy for other strengths of a firm.

IN PRACTICE

Two divisions adopt the same goal system; only the one whose head reviews goals monthly sees gains.

EXAM LENS

The same system with a tenfold difference in results. Use it to argue that the people carrying a system decide its success.

HOW OKRS ARE MEANT TO WORK

Design rules and their theory

STRETCH · DOERR (2018)

Ambitious OKRs treat about 70 percent attainment as success, in line with goal difficulty theory.

SEPARATE FROM PAY

Tying OKRs to pay invites sandbagging: setting goals one is sure to hit.

LINE OF SIGHT · BOSWELL (2006)

Understanding how one's work links to strategy related to work attitudes and turnover.

THEORY IN DEPTH · BOSWELL (2006)

Line of sight to strategy

THE CORE IDEA

Line of sight is an employee's understanding of the firm's objectives and of how to contribute to them.

HOW IT WORKS

In a field study it varied with level and tenure, and related to work attitudes and turnover.

LIMITS AND CRITIQUE

Survey based, so the direction of cause is open.

IN PRACTICE

A plant posts each line's key results next to the company objective they serve, and reviews both weekly.

EXAM LENS

Use it to justify transparency in OKRs. Weakness: line of sight helps only if the strategy itself is clear.

COMMON FAILURE MODES

When an OKR is not an OKR

TASK LISTS

Key results describe activities rather than outcomes.

CASCADE FATIGUE

Every level rewrites the level above; nothing is set from below.

SILENT QUARTER

Set in week one, reviewed in week twelve: no feedback in between.

COMPARE AND EVALUATE

MBO and OKRs

	MBO	OKRs
Ambition	Attainable targets	Stretch; partial attainment expected
Cycle	Usually annual	Usually quarterly
Link to pay	Often direct	Deliberately separated
Visibility	Private to manager and employee	Transparent across the firm

EXAM LENS

OKRs inherit the goal setting evidence. Their newer features, transparency and stretch, have less direct evidence.

APPLY IT · ILLUSTRATIVE CASES

Testing an OKR set

A FINTECH TEAM

Objective: make onboarding effortless. Key results: completion rate, time to first transaction.

A PLANT

Objective: zero defect deliveries. Key results: returns, first pass yield.

THE TEST

Is each key result an outcome? Is it measurable? Is it ambitious but possible?

EXAM TIP

Illustrations for analysis, not real firms. Rewrite one weak key result in your answer to show skill.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"OKRs are management by objectives with a new name." Critically evaluate. **20 marks**

A strong answer: traces the lineage; compares ambition, cycle, pay link and transparency; uses Rodgers and Hunter; weighs the evidence.

Design an OKR system for an Indian manufacturing firm and identify the main risks. **20 marks**

A strong answer: sets example objectives and key results; separates pay; plans reviews; addresses failure modes and commitment from the top.

Why do OKR systems separate goals from pay? **10 marks**

A strong answer: explains sandbagging; links to goal difficulty; notes the trade off with accountability.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Commitment from the top multiplied the gains from MBO about tenfold
2. Key results are outcomes, not tasks
3. Stretch and transparency are the new parts; they have the least evidence

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50. Reread through the design lens.

Locke, E. A., & Latham, G. P. (2002). Building a practically useful theory of goal setting and task motivation: A 35 year odyssey. *American Psychologist, 57*(9), 705–717.

Doerr, J. (2018). *Measure what matters: How Google, Bono, and the Gates Foundation rock the world with OKRs*. Portfolio. Chapters 1 to 3.

HOW TO USE THESE

These are the Week 4 set readings. Doerr (2018) is the core reading for this lecture.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Boswell, W. (2006). Aligning employees with the organization's strategic objectives: Out of ‘line of sight’, out of mind. *International Journal of Human Resource Management, 17*(9), 1489–1511. https://doi.org/10.1080/09585190600878071

Doerr, J. (2018). *Measure what matters: How Google, Bono, and the Gates Foundation rock the world with OKRs*. Portfolio.

Drucker, P. F. (1954). *The practice of management*. Harper & Brothers.

Grove, A. S. (1983). *High output management*. Random House.

Sources for this lecture (2 of 2)

Rodgers, R., & Hunter, J. E. (1991). Impact of management by objectives on organizational productivity. *Journal of Applied Psychology, 76*(2), 322–336. https://doi.org/10.1037/0021-9010.76.2.322